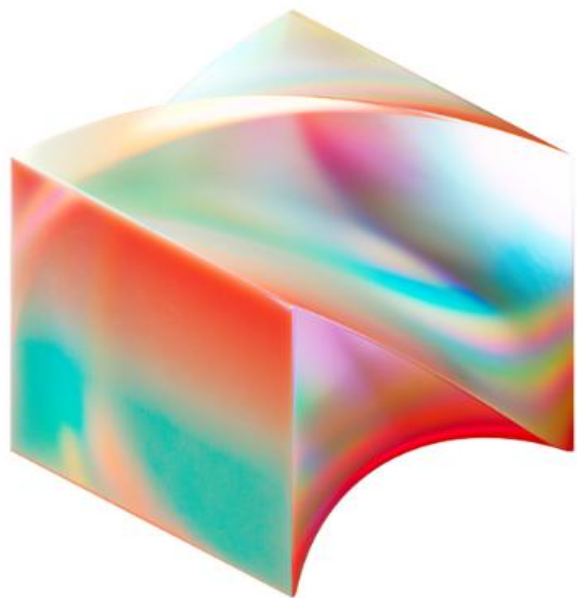




BLOCK

Block, Inc.
NYSE: XYZ

Position: **Long**

Implied Upside: 55.68%

Price Target: \$95.09

Investment Horizon: 12-24 months

Pitch Team:

Nathan Sousa

Alex Kowaleski

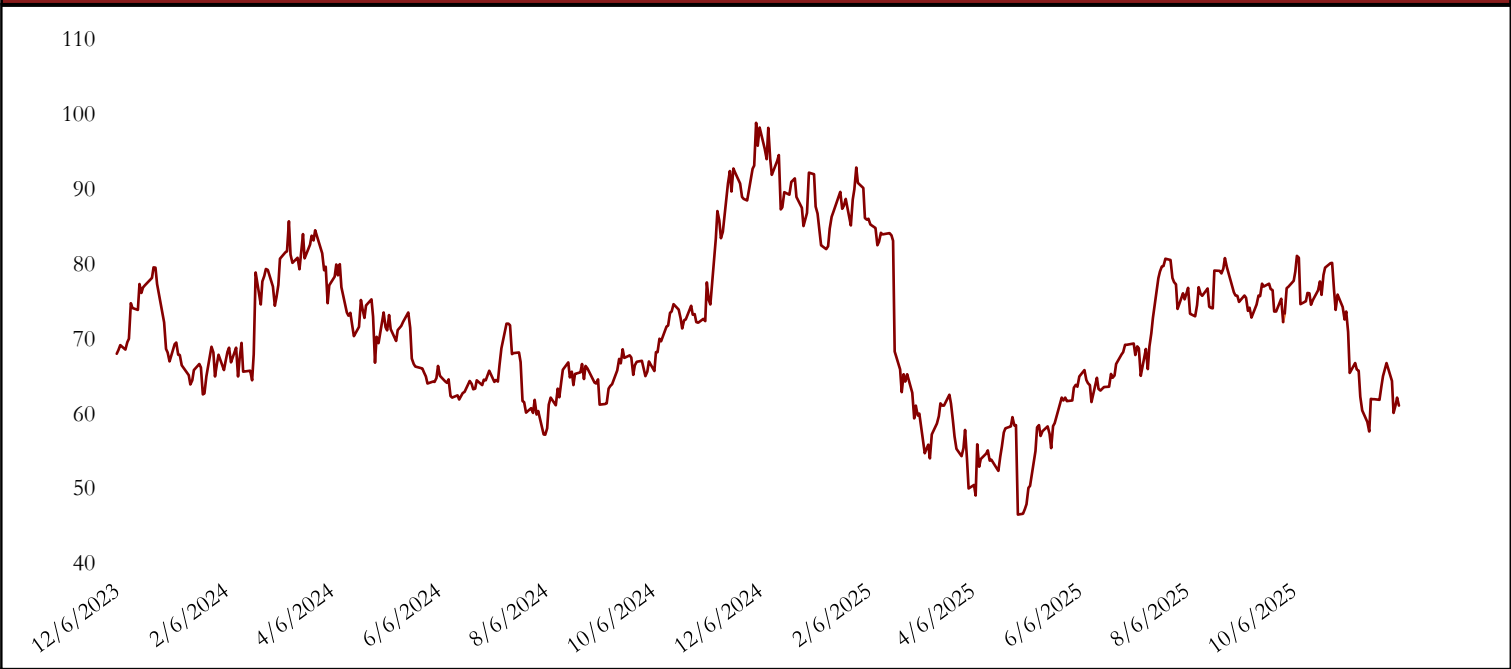
Recommendation

We recommend a long position in **Block** (XYZ) with a 55.68% upside based on a \$95.09 price target with a timeframe of 12-24 months.

Company Overview

Block, Inc. (XYZ) formerly Square Inc., is a financial technology ecosystem that operates with two flagship platforms. Square is a payment processing service with POS hardware geared towards merchants while Block's largest revenue driver Cash App, serves on the consumer end with financial products such as P2P payments, banking, investing, and buy/sell BTC. Other company ventures include Tidal(Music), Bitkey(Wallet), & Proto(Bitcoin Mining). Block's main mission is building the most relevant products and tools for the communities they serve including sellers, consumers, artists, fans, & developers. As Block progresses, they focus on investing into building deeper connections within their ecosystem as part being at the forefront of embedded finance.

XYZ Performance



Stock Price 60.11

Market Cap \$37,130

LTM Revenue \$24,620

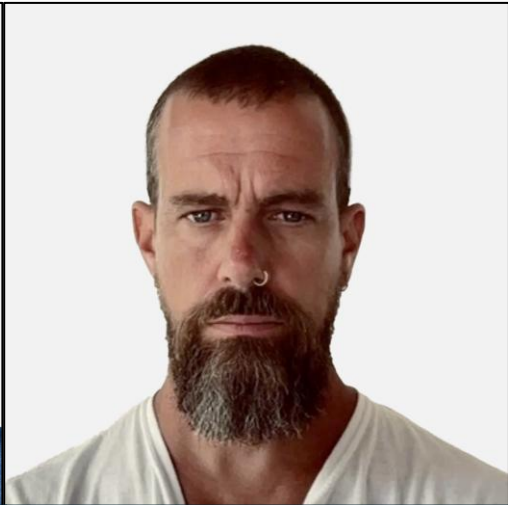
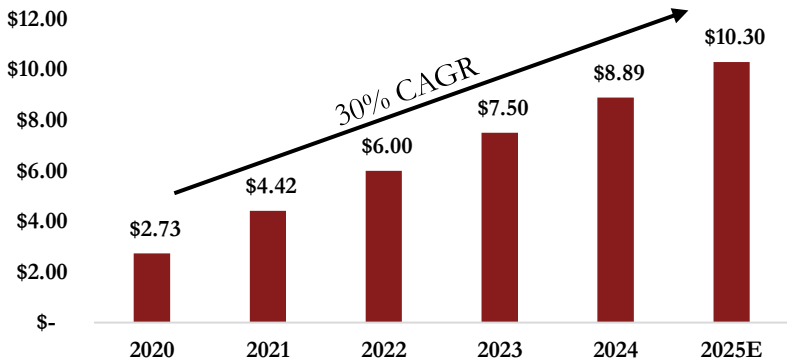
EBITDA \$8672

Diluted EPS 4.56

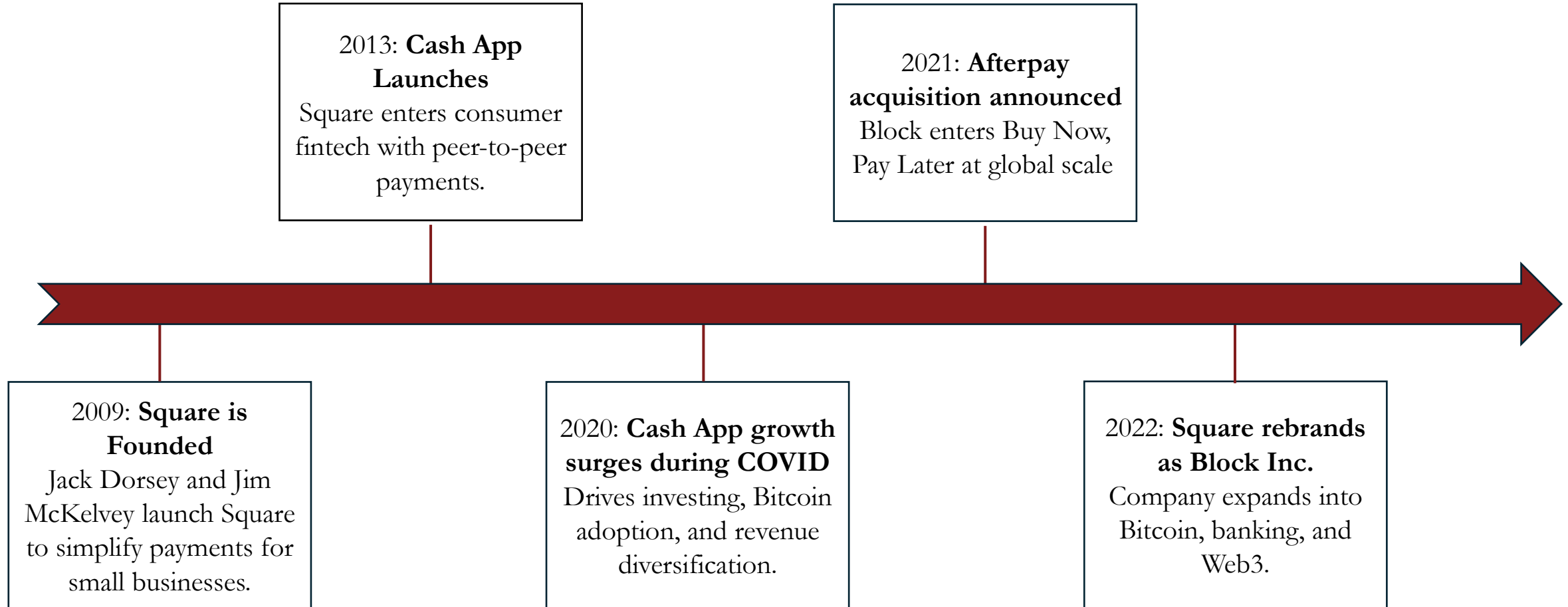
Shares Outstanding 547,000,000

**All in (\$mm) except per diluted EPS and Shares Outstanding*

Management

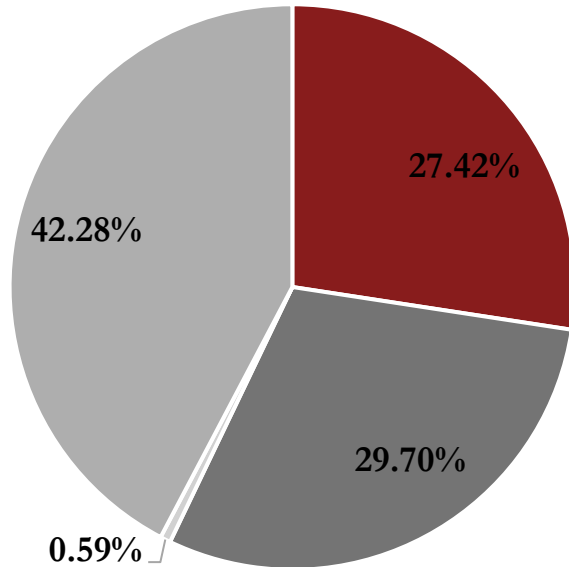
			Block Investor Day 2025 “Amrita: This is where it all comes together. This is the financial profile we're building towards. These are the numbers if you extrapolate our guidance to 2028. We'll be approaching \$16 billion in gross profit, generating \$4.6 billion of adjusted operating income, delivering \$5.50 of adjusted EPS, and generating \$4 billion in cash flow on a non-GAAP basis. This is the financial profile of a company that's positioned to create durable value for shareholders for years to come.”														
Amrita Ahuja	Jack Dorsey	Brian Grassadonia	Amrita’s Guidance(Gross Profit Growth In Billions)														
Foundational Lead:	Block Head & Founder	Ecosystem Lead															
Oversees finances & legal, previously held leadership positions at Fox Networks Group, the Walt Disney Company, and Morgan Stanley.	Former founder of Twitter, outspoken advocate of Bitcoin and cryptocurrency	Focuses on the connection between Square & Cash App, as well as the rest of Block’s ecosystem, previously worked in investment banking at UBS and worked for a startup that was acquired by Google	<table><caption>Amrita's Gross Profit Growth Guidance (Billions)</caption><tr><th>Year</th><th>Gross Profit (Billions)</th></tr><tr><td>2020</td><td>\$2.73</td></tr><tr><td>2021</td><td>\$4.42</td></tr><tr><td>2022</td><td>\$6.00</td></tr><tr><td>2023</td><td>\$7.50</td></tr><tr><td>2024</td><td>\$8.89</td></tr><tr><td>2025E</td><td>\$10.30</td></tr></table>	Year	Gross Profit (Billions)	2020	\$2.73	2021	\$4.42	2022	\$6.00	2023	\$7.50	2024	\$8.89	2025E	\$10.30
Year	Gross Profit (Billions)																
2020	\$2.73																
2021	\$4.42																
2022	\$6.00																
2023	\$7.50																
2024	\$8.89																
2025E	\$10.30																

History and Heritage



Revenue Breakdown

Segment Breakdown



- Transaction-based revenue
- Subscription and services-based revenue
- Hardware revenue
- Bitcoin revenue

Markup for buying/selling BTC, Volatility Fee

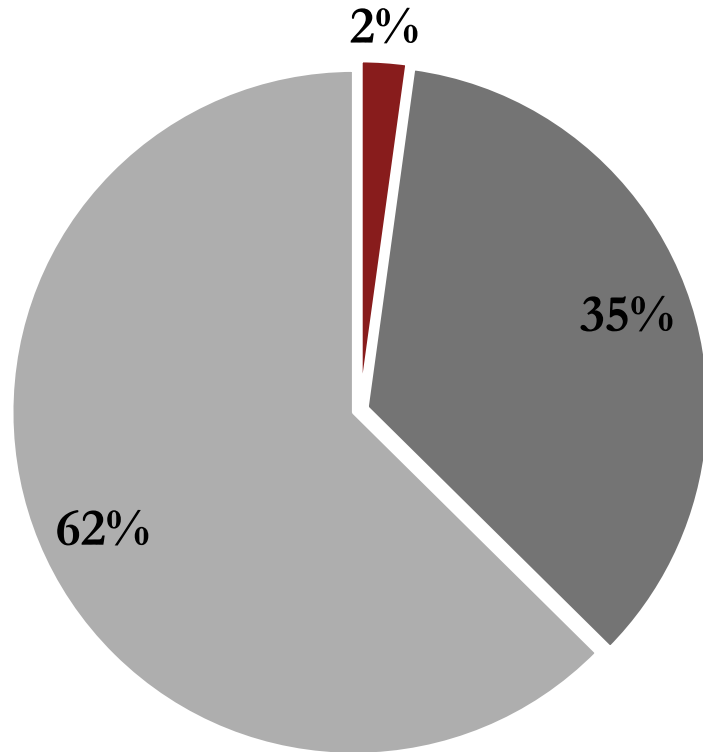
Monthly/service fees to have Block
SaaS, Afterpay, P2P, Loan, Banking

Merchant fees on every payment

Physical POS devices

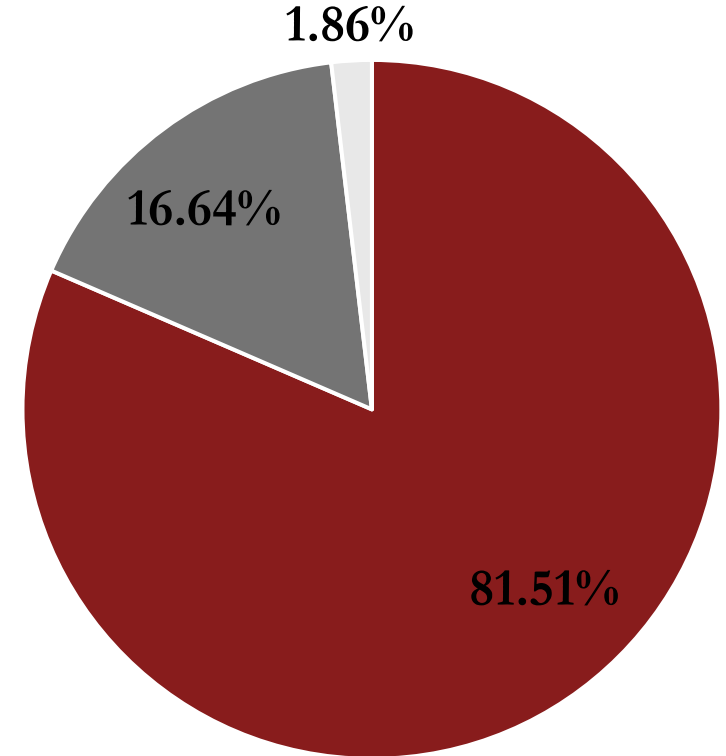
Revenue Breakdown

Cash App Revenue Build



Transaction-Based
Subscription & Service
Bitcoin
Hardware

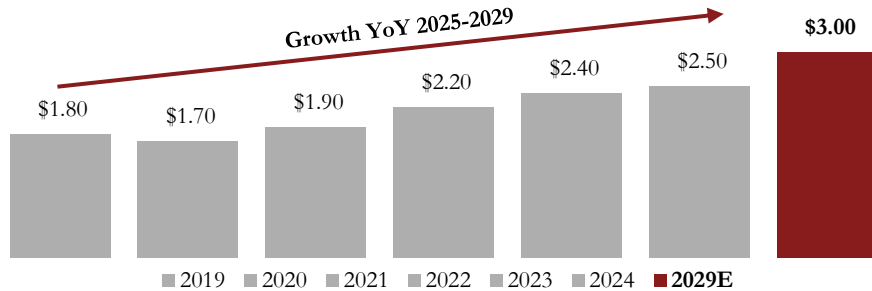
Square Revenue Build



Industry Dynamics: Overview of Market & Trends

Market Outlook

Global Payment Processing Revenue Growth(In Trillions)



Overview of Market

1

Large & essential to the health of the world economy, payments are the core infrastructure for all commerce

2

Rapidly evolving market with regional shifts towards Latin America & APAC

3

Many opportunities for specialization, ex. consumer, merchant, risk

Trends in the Industry



- **Digital wallets** are offering faster, more secure, cashless payments, these also come with cheaper transaction costs rather than lines of credit
- **Why?** -> provided access to undeveloped regions without access to traditional banks/costly banks, more participation in the formal economy

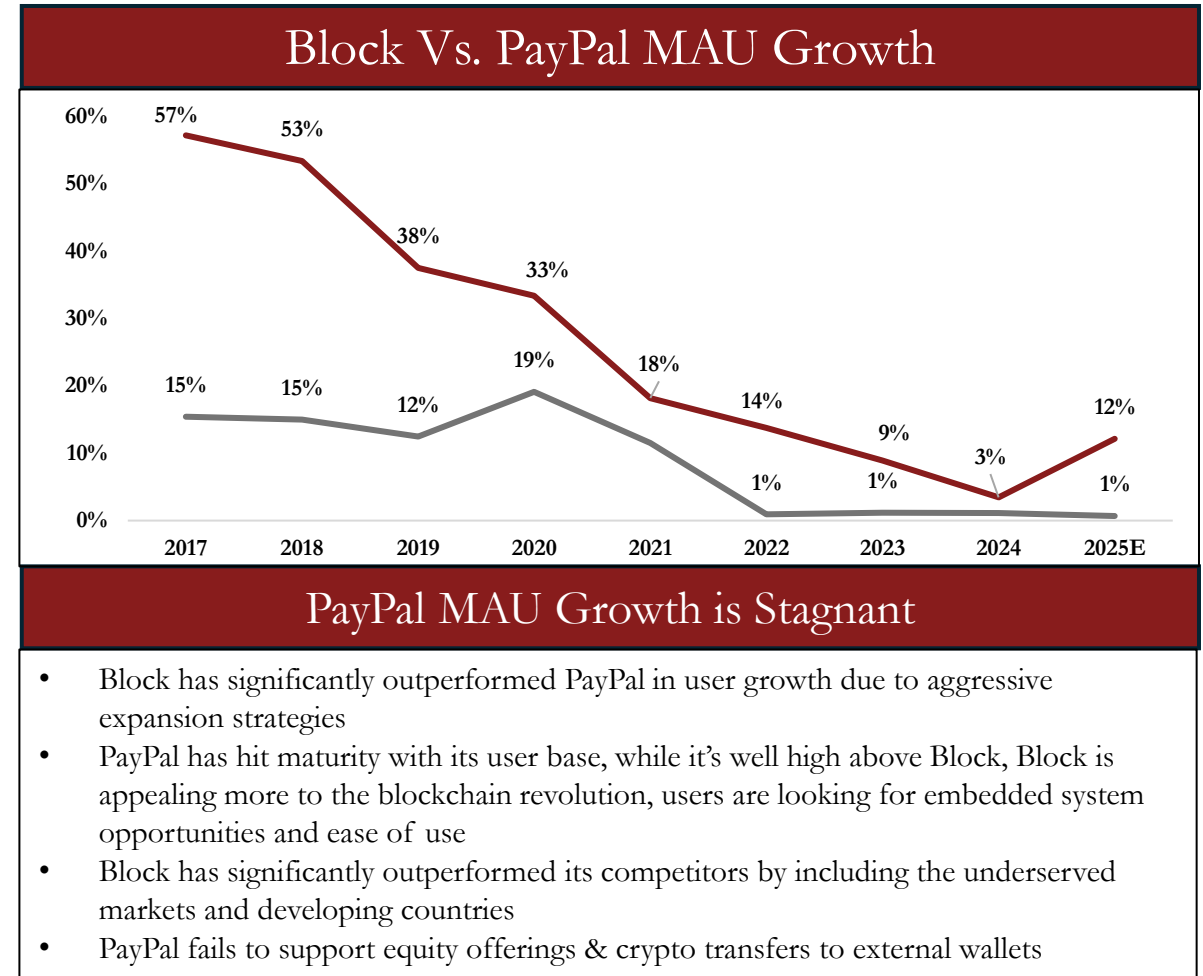


- SMB's & consumers are seeking to lower costs by **integrating financial services** on non-financial platforms. Merchant platforms are offering data analytics, payroll, loan offerings, etc. Consumer platforms can allow users to invest, take part in financing, and much more
- **Why?** -> creates new revenue streams in the market by cross selling financial products



- **Strong innovation pressure** for faster & cheaper payments paving the way for stablecoins, AI systems, and personalized banking
- **Why?** -> lowers costs for consumers and keeps the market competitive

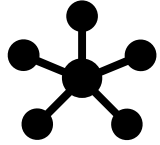
Industry Dynamics: Competitive Landscape



Comps

Ticker	Name	Share Price	Shares	EV	Market Cap	NTM Revenue	NTM EBITDA	Total Debt	Cash	Net debt	ND/EBITDA	EV/Revenue	EV/EBITDA	P/E
XYZ	Block Inc.	60.11	607.5	35680	37130	23970	1430	6920	8340	-1420	-.99x	1.49x	24.95x	37.04x
Payment Processing														
FIS US	FIDELITY NATIONAL INFO SERV	66.8	517.85	46440	34000	10460	2400	13001	571	12430	5.18x	4.44x	19.35x	19.87x
PYPL US	PAYPAL HOLDINGS, INC.	62.9	935.65	58560	57300	32860	6350	10250	8990	1260	.2x	1.78x	9.22x	11.73x
MA US	MASTERCARD, INC. - A	545.91	891.26	505600	497250	31470	16110	18650	10310	8340	.52x	16.07x	31.38x	34.44x
V US	VISA, INC.-CLASS A SHARES	329.62	1690.00	648010	645550	40000	24410	19620	17160	2460	.1x	16.2x	26.55x	30.96x
FOUR	SHIFT 4 PAYMENTS, INC. CLASS A	70.09	67.56	11060	6220	3880	609	4810	1510	3300	5.42x	2.85x	18.17x	32.12x
TOST	TOAST, INC.	35.17	515.00	18840	20680	5860	248	(480)	1360	(1840)	-7.42x	3.22x	75.97x	78.21x
Median		70.1	891.3	58560.0	57300.0	31470.0	6350.0	13001.0	8990.0	3300.0	0.52x	4.44x	19.35x	30.96x
Mean		215.1	820.5	253934.0	248064.0	23734.0	9975.7	13266.2	7708.2	5558.0	2.28x	8.27x	20.93x	25.82x
Standard Deviation		217.2	598.5	299518.0	300329.7	15637.2	10053.1	6124.4	6839.3	4694.0	2.76x	7.24x	8.49x	9.67x
BNPL														
AFRM	AFFIRM HOLDINGS, IINC.	69.64	289.36	24500.00	22990.00	4810.00	5.42	(70.00)	1430.00	1500.00	276.75x	5.09x	4520.3x	19.24x
KLAR	KLARNA GROUP	30.6	377.26	5890.00	11540.00	3130.00	(44.75)	12630.00	6800.00	(5830.00)	130.28x	1.88x	-131.62x	--
SEZL	SEZZLE, INC.	64.44	34.15	2210.00	2200.00	418.63	--	90.27	104.15	13.88	--	5.28x	--	7.34x
Median		64.4	289.4	5890.0	11540.0	3130.0	-19.7	90.3	1430.0	13.9	203.52x	5.09x	2194.34x	13.29x
Mean		54.9	233.6	10866.7	12243.3	2786.2	-19.7	4216.8	2778.1	-1438.7	203.52x	4.08x	2194.34x	13.29x
Standard Deviation		21.2	178.2	11949.3	10412.8	2215.8	35.5	7286.5	3545.6	3874.9	103.57x	1.91x	3289.40x	8.41x

Thesis



Block is at the Forefront of embedded finance and vertical integration systems

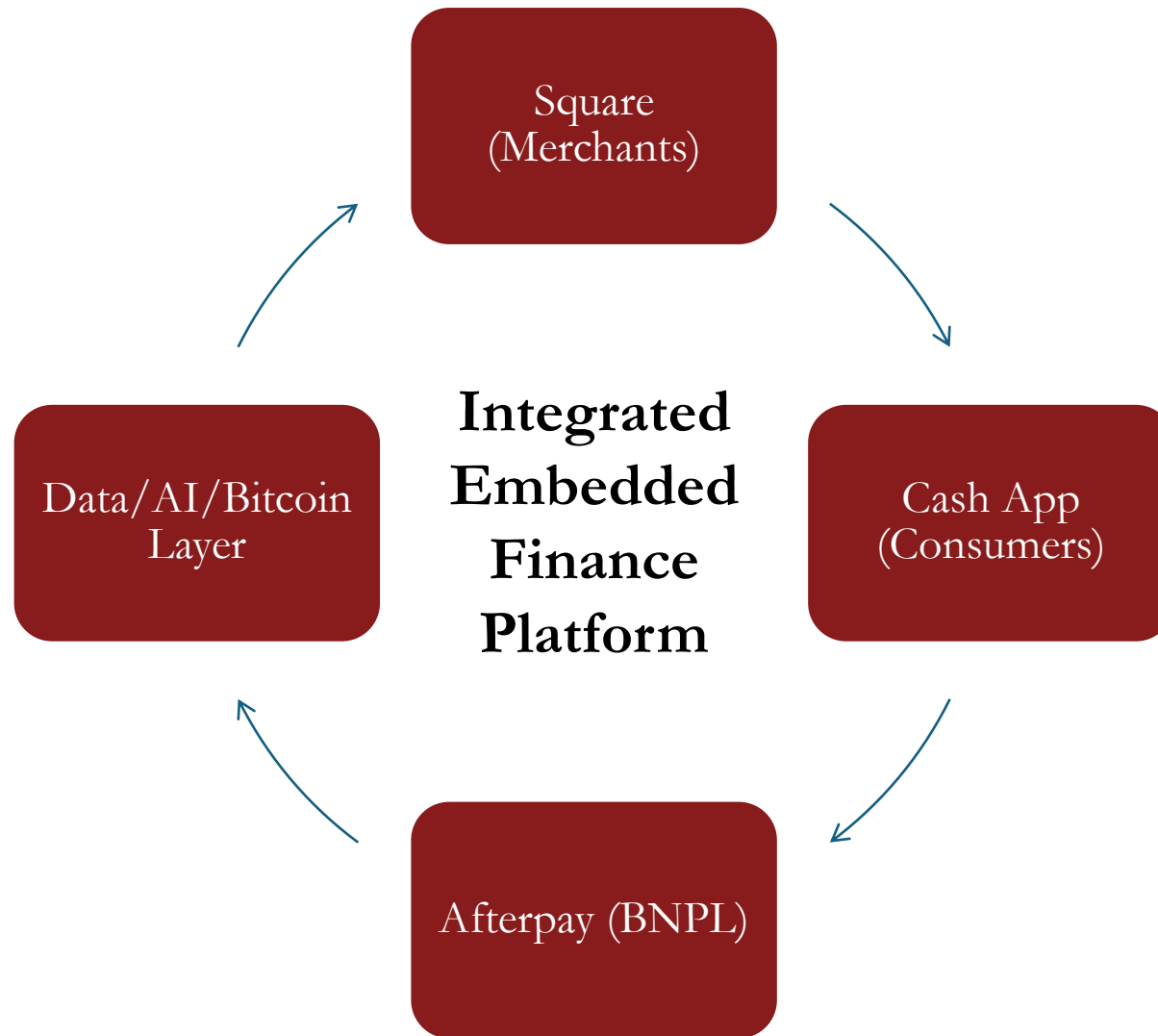


Expansion internationally



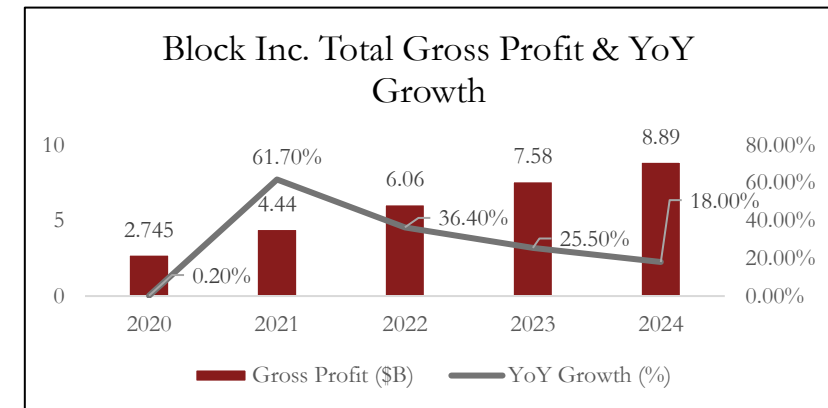
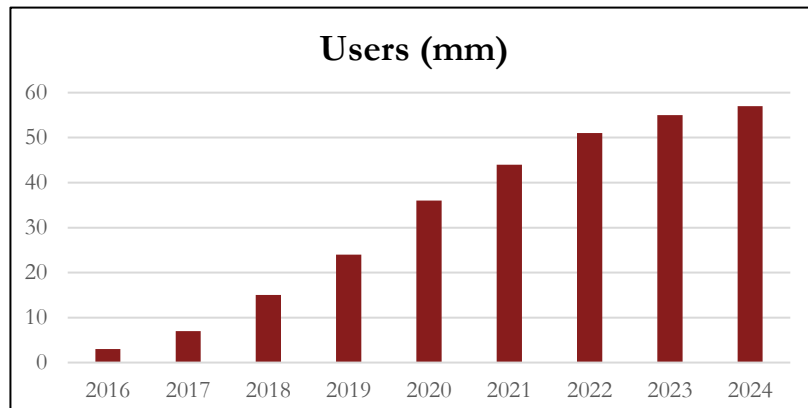
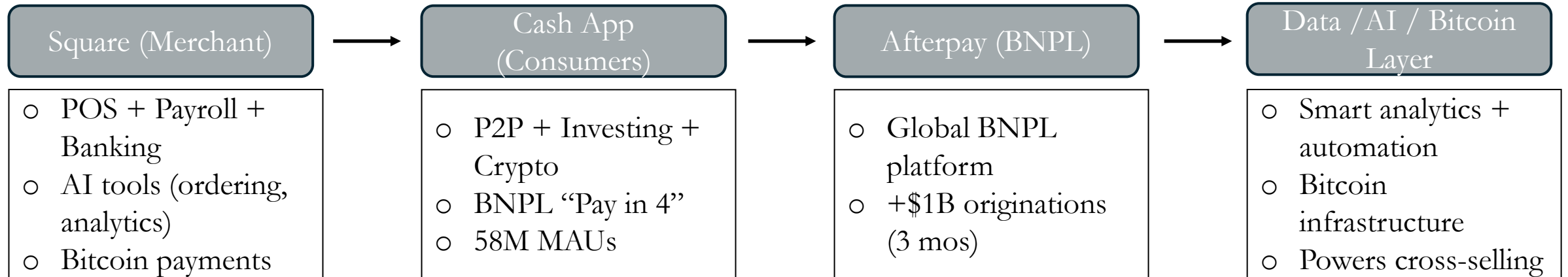
Biggest competitor in digital assets initiatives

Thesis 1: Embedded Finance Ecosystem

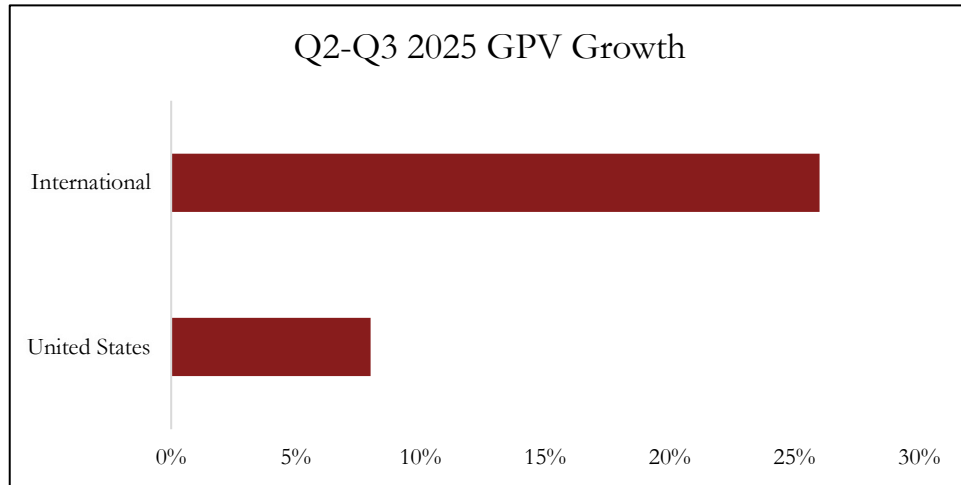


Thesis 1: Embedded Finance Ecosystem

Cross-selling drove +18.3% YoY Gross Profit Growth



Thesis 2: Expansion Internationally



International GPV is growing ~3x faster than U.S., signaling Block's next major growth engine.

Growth Drivers:

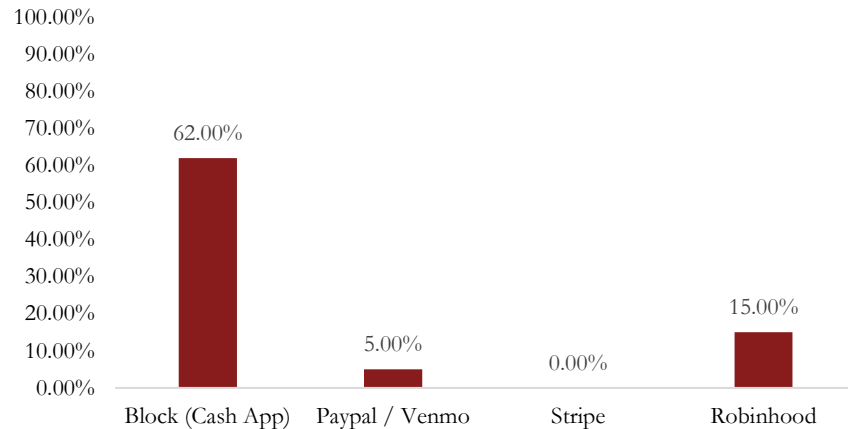
- Expansion of Square in Europe & Australia
- Afterpay international adoption
- Faster SMB recovery outside the U.S.

Why this Matters:

- Higher international growth → higher long-term revenue
- Geographic diversification → lower macro risk vs U.S.-only peers
- Expands total addressable market beyond a saturated U.S. payments market

Thesis 3: Biggest competitors in digital assets initiatives

Digital Asset Revenue as % of Total Revenue



Block is the only major consumer fintech where digital assets are a core revenue driver.

Bitcoin continues to dominate the cash app's revenue mix accounting for roughly 62% of total cash app revenue. This highlights both the scale of engagement and the importance of blocks digital asset initiatives strategy.



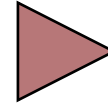
Proto positions Block to capture long-term upside from global Bitcoin mining demand.

Proto receives its first revenue as Block's bitcoin mining division. Proto is dedicated to the future of bitcoin mining being accessible to and sustainable to all, regardless of size or location. "We are actively pursuing a robust pipeline for 2026 and beyond."

Risks and Mitigants

01

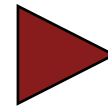
Small Bitcoin Margins



Block will see dwindling bitcoin COGS in the future due to insurance & risk related measures, as Block becomes a prominent embedded finance figure, Block can increase transaction fees

02

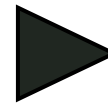
Competitive Pressure



Block's early-mover advantage and massive Cash App user base give the company strong market share in consumer crypto and fintech, making it difficult for competitors to replicate its scale, user engagement, and ecosystem integration.

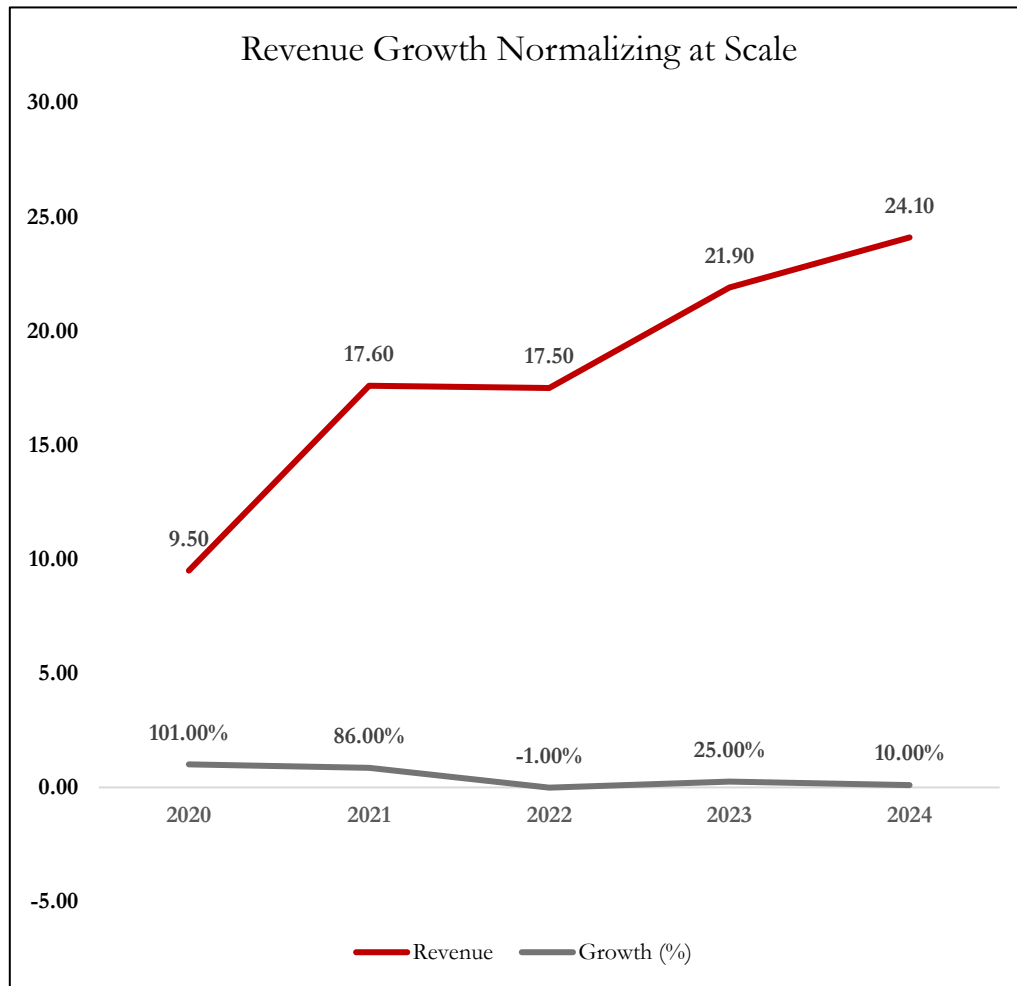
03

Slowed Revenue Growth



The \$5B share buyback signals strong balance sheet confidence and management's belief that the stock is undervalued, while also supporting EPS growth and shareholder returns during periods of slower top-line expansion.

Slowing Revenue Growth as Block Matures



Why Revenue Growth Is Moderating

- Law of large numbers at a **\$24B+** revenue scale
- Post-COVID normalization after 2020–21 surge
- Afterpay integration + macro headwinds in 2022
- Shift from growth-at-all-costs to **profitability focus**

Why This Signals Maturity — Not Weakness

- Growth remains double-digit (+10% in 2024)
- Gross profit still expanding (18-19% YoY)
- Ecosystem monetization increasing (Square + Cash App + BNPL)
- Strong FCF + \$5B share repurchase authorization

DCF Model

All numbers deployed in \$mm

Assumptions	
Tax Rate	25.00%
Discount Rate	11.32%
Perpetual Growth Rate	2.50%
EV/EBITDA Multiple	24.95x
Transaction Date	1/25/2026
Fiscal Year End	12/31/2025
Current Price	\$65.94
Diluted Shares Outstanding	607.50
Debt & Other LT Liabilities	\$6,920.00
Cash & Investments	\$8,340.00
Preferred Equity	\$0.00

Intrinsic Value	
Enterprise Value	\$56,456.00
Plus: Cash	\$8,340.00
Less: Debt	\$6,920.00
Less: Preferred Equity	\$0.00
Equity Value	\$57,876.00
Equity Value per Share	\$95.27

Market Value	
Plus: Debt	\$6,920.00
Plus: Preferred Equity	\$0.00
Less: Cash	\$8,340.00
Enterprise Value	\$38,638.55
Equity Value per Share	\$65.94

Discounted Cash Flow	Entry	2025	2026	2027	2028	2029	2030	Exit
Date	1/25/2026	12/18/2025	12/18/2026	12/18/2027	12/18/2028	12/18/2029	12/18/2030	12/18/2030
Year Fraction		0.10	1.00	1.00	1.00	1.00	1.00	
EBIT		\$1,733.00	\$2,685.00	\$3,312.00	\$3,921.00	\$4,285.00	\$4,317.00	
Less: Taxes		\$433.25	\$671.25	\$828.00	\$980.25	\$1,071.25	\$1,079.25	
Plus: D&A		\$375.07	\$382.00	\$390.00	\$397.00	\$406.00	\$414.00	
EBITDA		\$2,108.07	\$3,067.00	\$3,702.00	\$4,318.00	\$4,691.00	\$4,731.00	
Less: CapEx		\$198.92	\$218.15	\$240.77	\$273.90	\$307.02	\$311.06	
Plus: NWC Investment		\$3.94	\$3.94	\$3.94	\$3.94	\$3.94	\$3.94	
Adjusted Free Cash Flow		\$1,479.84	\$2,181.54	\$2,637.17	\$3,067.79	\$3,316.67	\$3,344.63	\$78,452.61
Transaction Cash Flow		\$152.09	\$2,181.54	\$2,637.17	\$3,067.79	\$3,316.67	\$3,344.63	\$78,452.61

WACC

WACC

EV/EBITDA Multiple

	23.95x	24.45x	24.95x	25.45x	25.95x
11.82%	\$90.16	\$91.27	\$92.39	\$93.50	\$94.61
11.57%	\$91.55	\$92.68	\$93.80	\$94.93	\$96.06
11.32%	\$92.99	\$94.13	\$95.27	\$96.41	\$97.55
11.07%	\$94.49	\$95.64	\$96.79	\$97.95	\$99.10
10.82%	\$96.05	\$97.21	\$98.38	\$99.54	\$100.71

EV/EBITDA Multiple

	23.95x	24.45x	24.95x	25.45x	25.95x
11.82%	36.73%	38.42%	40.11%	41.80%	43.48%
11.57%	38.84%	40.55%	42.26%	43.96%	45.67%
11.32%	41.03%	42.76%	44.48%	46.21%	47.94%
11.07%	43.30%	45.05%	46.79%	48.54%	50.28%
10.82%	45.66%	47.42%	49.19%	50.96%	52.72%

MBF vs Consensus

MBF vs. Consensus(in \$mm)	FY2025	FY2026	FY2027	FY2028	FY2029
MBF Revenue	24,620.4	27,000.0	29,800.0	33,900.0	38,000.0
Consensus Revenue	24,345.9	26,720.7	29,384.5	33,507.5	37,505.5
% difference	1.12%	1.04%	1.40%	1.16%	1.31%
MBF Cost of Revenue	(14,200.0)	(15,000.0)	(13,094.3)	(13,516.0)	(12,881.0)
Consensus Cost of Revenue	(14,043.0)	(14,727.0)	(15,836.0)	(17,685.0)	(20,505.0)
% difference	1.11%	1.84%	18.95%	26.72%	45.67%
MBF Operating Expense	(8,164.7)	(8,446.3)	(9,066.1)	(9,708.4)	(10,446.9)
Consensus Operating Expense	(8,581.0)	(9,568.0)	(10,368.0)	(12,004.0)	(13,988.0)
% difference	4.97%	12.45%	13.40%	21.15%	28.98%
MBF CapEx	(198.9)	(218.1)	(240.8)	(273.9)	(307.0)
Consensus CapEx	(157.5)	(227.8)	(277.2)	(360.9)	(415.0)
% difference	23.24%	4.33%	14.07%	27.41%	29.91%

Thank you for
listening, any
questions?